1) Which of the following is a micro economic topic?

a. The reason why inflation increases.
b. The reason why Mr. Y purchases more chicken.
c. The impact of trade deficit on government trade policy.
d. The reason for increasing average prices.

2) Resources are

a) scarce for households but plentiful for economies.
b) plentiful for households but scarce for economies.
c) scarce for households and scarce for economies.
d) plentiful for households and plentiful for economies.

3) Which of the principles is incorrect from economics point of view?

a. People face trade-offs.
b. Markets are usually a good way to organize economic activity.
c. Price declines when Government print too much money.
d. Government can sometimes improve market outcome.

4) The opportunity cost of attending university for a year is

a. The cost of semester fees
b. The cost of living
c. Wages that one could have earned if he worked instead of attending university
d. The cost of book

5) If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, what is market equilibrium price (P)?

a. 6
b. 7
c. 8
d. 9

6) If the supply curve of rice per kg is defined by QS=1200+60P, and demand curve is defined by QD=1800-40P, what is the equilibrium quantity (Q)?

a. 1600
b. 1700
c. 1890
d. 1560

7) Which of the following would not shift the demand curve for butter?

a. a widely publicized study which indicates butter increases one's cholesterol
b. a reduction in the price of milk
c. An effective advertising campaign by butter producers.
d. A change in incomes of the butter consumers.

8) Demand and supply curves of chocolate intersect at price of Rs 20. Price of a chocolate is Rs 25 inside the premises of university. This will lead to

a. Shortage of chocolate in the university premises

b. Surplus of chocolate in the university premises

c. Shift in the supply curve

d. Shift in demand curve

9) If the price of A declines, the demand curve for the complementary product B will:

a. Shift to the left
b. Movement along the demand curve
c. Both movement and shifting of the curve
d. Shift to the right

10) In a market of four potato sellers E, F, G and H with price of Rs.35 per kg of potato, E is willing and ready to supply 20Kgs of potato, F is willing and ready to supply 30Kgs of potato, G is willing and ready to supply 40Kgs of potato and H is willing and ready to supply 50Kgs of potato. What is aggregate market supply of potato at Rs.35 per kg?

a. 20Kgs of E
b. 20, 30, 40 or 50 Kgs based on supplier
c. Sum of four i.e. 140 Kgs
d. 50Kgs of H